

# AXCELUS FINANCIAL LIFE INSURANCE COMPANY

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## ACCREDITED INVESTOR QUESTIONNAIRE ENTITY POLICY OWNER

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The undersigned, \_\_\_\_\_, is furnishing the information in this Accredited Investor Questionnaire to Axcelus Financial Life Insurance Company ("Axcelus Financial") so that Axcelus Financial can determine whether \_\_\_\_\_ (the "Proposed Owner") is an accredited investor, pursuant to section 4(a)(2) of the Securities Act of 1933, as amended (the "Act"), and Regulation D promulgated thereunder, in support of the offer and sale by Axcelus Financial of a Flexible Premium Deferred Variable Annuity Policy or Flexible Premium Variable Life Insurance Policy (the "Policy") to be issued to the Proposed Owner.

The undersigned understands that Axcelus Financial will rely upon this information for purposes of such determination, and that the Policy will not be registered under the Act in reliance upon, among other things, the exemption from registration provided by Section 4(a)(2) and Regulation D thereunder. The undersigned further understands that the Policy will be issued only if the Owner (as defined in the Policy), and all other individuals making premium payments under the Policy (collectively referred to as "Purchasers") qualify as accredited investors (as defined in Regulation D) at the time application is made for the Policy.

**ALL INFORMATION CONTAINED IN THIS QUESTIONNAIRE WILL BE TREATED CONFIDENTIALLY.** The undersigned agrees, however, that Axcelus Financial may present this Questionnaire to broker-dealers or selling agents acting on behalf of Axcelus Financial and to such other parties, and their respective counsel, as Axcelus Financial deems appropriate, if called upon to establish that the proposed offer and sale of the Policy is exempt from registration under the Act.

The undersigned understands that this Questionnaire is merely a request for information. The undersigned understands that this Questionnaire is not an application or an offer to sell or a sale of the Policy and that no sale will occur prior to the issuance of a Policy.

**CERTIFICATION - Check the box(es) that apply to you.**

The undersigned certifies that:

- ☐ the Proposed Owner is an Accredited Investor because it is a bank as defined in section 3(a)(2) of the Securities Act of 1933 (the “Act”) association or other institution as defined in section 3(a)(5)(A) of the Act whether acting in its individual or fiduciary capacity; a broker or dealer registered pursuant to section 15 of the Securities Exchange Act of 1934; an insurance company as defined in section 2(13) of the Act; an investment company registered under the Investment Company Act of 1940 or a business development company as defined in section 2(a)(48) of that Act; a Small Business Investment Company licensed by the U.S. Small Business Administration under section 301(c) or (d) of the Small Business Investment Act of 1958; a plan established and maintained by a state, its political subdivisions, or an agency or instrumentality of a state or its political subdivisions, for the benefit of its employees, and such plan has total assets in excess of \$5,000,000; an employee benefit plan within the meaning of the Employee Retirement Income Security Act of 1974 and the investment decision is made by a plan fiduciary, as defined in section 3(21) of such Act, which is either a bank, savings and loan association, insurance company, or registered investment adviser, or if the employee benefit plan has total assets in excess of \$5,000,000 or, if a self-directed plan, with investment decisions made solely by persons that are accredited investors; **AND/OR:**
- ☐ the Proposed Owner is an Accredited Investor because it is a private business development company as defined in section 202(a)(22) of the Investment Advisers Act of 1940; **AND/OR:**
- ☐ the Proposed Owner is an Accredited Investor because it is an organization described in section 501(c)(3) of the Internal Revenue Code, corporation, Massachusetts or similar business trust, or partnership, not formed for the specific purpose of acquiring the securities offered, with total assets in excess of \$5,000,000; **AND/OR:**
- ☐ the Proposed Owner is an Accredited Investor because it is a trust, with total assets in excess of \$5,000,000, not formed for the specific purpose of acquiring the securities offered, whose purchase is directed by a sophisticated person, defined as having sufficient knowledge and experience in financial matters as to be capable of evaluating the merits and risks of the securities; **AND/OR:**
- ☐ the Proposed Owner is an Accredited Investor because it is a trust with a bank trustee that directs the purchase of the Policy and makes all investment decisions for the trust; **AND/OR**
- ☐ the Proposed Owner is an Accredited Investor because it is a family office, as defined in Rule 202(a)(11)(G)-1 under the Advisers Act, that has assets under management in excess of \$5 million, is not formed for the specific purpose of acquiring the securities offered and has a person directing the prospective investment who has such knowledge and experience in financial and business matters so that the family office is capable of evaluating the merits and risks of the prospective investment; **AND/OR**
- ☐ the Proposed Owner is an Accredited Investor because it is an entity in which all of the equity owners are accredited investors. **(Note: If this certification is selected, please provide Supporting Questionnaires from each equity owner of the Proposed Owner.)**

**AGREEMENTS**

1. The undersigned understands and agrees that because the Policy is issued in reliance on the exemption from registration contained in Section 4(a)(2) of the Act and Regulation D promulgated thereunder that such Policy may

not be sold, assigned, pledged, hypothecated or otherwise transferred unless it is registered under the Act or is exempt therefrom.

2. The undersigned understands and agrees that in the event that at any time while the Policy is in force the Proposed Owner ceases to qualify or have reason to believe that it no longer qualifies as an Accredited Investor under Section 4(a)(2) of the Act and Regulation D promulgated thereunder, then the Proposed Owner shall immediately: (a) notify Axcelus Financial of such change in status or belief; and (b) surrender or cause to be surrendered the Policy for its Cash Surrender Value as defined in the Policy (which surrender can be effectuated by a "Section 1035" exchange into another annuity policy). The undersigned understands and agrees that Axcelus Financial may refuse to accept any premium payment under any Policy if it reasonably believes that the Proposed Owner has ceased to qualify as an accredited investor at the time of such payment. The undersigned also understands and agrees that, in the event that at any time during the duration of the Policy, Axcelus Financial reasonably believes that the Policy Owner no longer qualifies as an accredited investor, then Axcelus Financial may, in its sole discretion, deem such Policy to be surrendered if Axcelus Financial believes that such action may be required or prudent to ensure that the offering continues to qualify for exemption under Section 4(a)(2) of the Act and Regulation D.
3. The Proposed Owner agrees to cooperate with Axcelus Financial and, from time to time, as requested by Axcelus Financial, the Proposed Owner will provide Axcelus Financial with any information and respond to all inquiries from Axcelus Financial that are reasonably necessary to satisfy Axcelus Financial that the undersigned continues to qualify as an accredited investor during the duration of the Policy.

#### **REPRESENTATIONS AND WARRANTIES**

1. The undersigned, on behalf of the Proposed Owner, represents and warrants to Axcelus Financial that the information contained herein is complete and accurate as of the date shown below and may be relied upon by Axcelus Financial as of the date of any subsequent premium payment with the same force and effect as if made on and as of such date.
2. The undersigned, on behalf of the Proposed Owner, further represents and warrants to Axcelus Financial that:
  - a. **THE PROPOSED OWNER IS ACQUIRING A POLICY FOR INVESTMENT PURPOSES ONLY AND NOT WITH A VIEW TOWARDS RESALE OR DISTRIBUTION. THE PROPOSED OWNER IS ABLE TO BEAR THE ECONOMIC RISK OF AN INVESTMENT IN A POLICY FOR AN INDEFINITE PERIOD OF TIME, AND THAT IT HAS ADEQUATE MEANS OF PROVIDING FOR ITS CURRENT NEEDS AND CONTINGENCIES OUTSIDE OF THE POLICY. THE PROPOSED OWNER UNDERSTANDS AND ACCEPTS THE FULL NATURE AND RISK OF AN INVESTMENT IN A POLICY AND HAS SUBSTANTIAL EXPERIENCE IN MAKING INVESTMENT DECISIONS OF THIS TYPE. THE PROPOSED OWNER POSSESSES THE BUSINESS AND FINANCIAL EXPERIENCE SO AS TO BE CAPABLE OF EVALUATING THE MERITS AND RISKS INVOLVED WITH THE PURCHASE OF A POLICY.**
  - b. The Proposed Owner is acquiring a Policy for its own account, not on behalf of another person, and not for the purpose of distributing, assigning, reselling or otherwise transferring such Policy, either directly or indirectly.
  - c. The Policy was not offered to the Proposed Owner by means of publicly disseminated advertisements or sales literature, and that it is not aware of any offers made to other persons by such means.
  - d. The Proposed Owner has received, carefully reviewed, understand and is familiar with the Private Placement Memorandum of Axcelus Financial describing the business of Axcelus Financial, the Policy and the Investment Account(s) available to it.

- e. The Proposed Owner understands that the Private Placement Memorandum has not been filed with or reviewed by the United States Securities and Exchange Commission or any state securities commission because of Axcelus Financial's determination as to the private or limited nature of the offering. The Proposed Owner further understands that Axcelus Financial is under no obligation to register the Policy.

### **INDEMNITY**

The Proposed Owner hereby agrees to indemnify and hold harmless Axcelus Financial, and its officers, directors, agents and representatives from any and all damages, losses, costs and expenses (including reasonable attorney's fees) which they may incur by reason of the failure by the undersigned to fulfill any of the terms and conditions of this Questionnaire or the undersigned's breach of any of its representations and warranties contained herein. This Questionnaire and the representations and warranties contained herein shall be binding upon the Proposed Owner's successors and permitted assigns.

**IN WITNESS WHEREOF, the undersigned has read, understands and agrees to the foregoing statements and hereby certifies that the information set forth above is true and correct to the best of its information and belief as of the date set forth below.**

\_\_\_\_\_  
Name of Proposed Owner

By: \_\_\_\_\_

Name \_\_\_\_\_

Title: \_\_\_\_\_

Date: \_\_\_\_\_